www.tntextbooks.in

12) Sundries

There may be certain expenses which are infrequent for which specific columns are not provided. These are recorded in this column.

13) Personal accounts

Small amount of money paid to individuals are entered in this column.

14) Ledger Folio (L.F.)

This refers to the page number of the ledger where the respective account is recorded.

7.10.4 Balancing petty cash book

At the end of the period, i.e., week or month the total of the total column, individual expenses columns and sundries columns, is obtained. The total of the individual petty expenses column must be equal to the total in the total column. The sum of the total column is compared with the total of receipts column and the balance is obtained. The closing balance is shown as 'By Balance c/d'. The closing balance is carried forward to the next week or month. It is shown as 'To Balance b/d'. Cash received from the main cashier at the beginning of the next period is entered as 'To Cash A/c' and the amount is recorded in the Receipts column.

7.10.5 Posting of entries from petty cash book to ledger

1. When petty cash is advanced at the beginning:

   A separate petty cash account is opened in the ledger. When advance is received by the petty cashier, petty cash account is debited and cash account is credited.

2. When individual expenses columns are periodically totalled:

   The total of various petty expenses are debited and the petty cash account is credited with the total of the payments made.

The petty cash account will show the balance of petty cash. This balance will be shown in the balance sheet as part of cash balance.

Tutorial note

Instead of debiting the total of each petty expense directly, a separate journal entry may also be made and then credited to petty cash account. The journal entries are:

(a) **For receiving petty cash:**

Petty cash A/c Dr.

To Cash A/c

(b) **For expenses paid:**

Respective expense A/c Dr.

To Petty cash A/c